INCOME TAX

Over the years, stricter compliance has significantly brought down the number of income tax mistakes one can commit. Yet, there are a few tax-related mistakes one should be careful about

1. FAILING TO FILE RETURNS

There are chances that you have forgotten to file your tax returns or have mistakenly assumed that TDS (tax deducted at source) or any other tax deduction is equivalent to having filed tax returns.

THE SOLUTION: TDS or any other form of deduction is on the income that you earn. If this income is above Rs 2.5 lakh in a given financial year, then you are bound to duly file an Income Tax Return or ITR. This income is calculated before accounting for all the deductions.

2. MISSING THE DEADLINE

There is a last date to file tax returns for a financial year, which is mostly the last day of July 2022. One may miss this deadline due to many reasons—inadequate time to keep the paperwork ready, lack of time or just forgetting to file it.

THE SOLUTION: It is best to file your returns as soon as you have the necessary documents in place and much before the deadline. The deadline is often extended and one could use the extension to file returns. If one still forgets, there are penalties and fines that one needs to pay to file their tax returns for a financial year. Save yourself the hassle and the stress by adhering to the deadline.

3. INCORRECT INFORMATION

There may be instances of incorrect PAN details on your returns or TDS, there could be discrepancies with bank account details linked to your tax returns or spelling mistakes in your name, among other things. All these could result in your failure to file your returns or for the income tax department to reject your returns.

THE SOLUTION: Ensure all the details mentioned are accurate; get them rectified if there are errors. Make sure to link your PAN with your bank account for the timely transfer of refunds.

4. NOT CHECKING FORM 26AS

Form 26AS contains information about your income and the advance tax paid, TDS, self-assessment tax paid and tax credits. All these make it a critical document. Sometimes, there could be a mismatch between the information in Form 26AS and the employer's Form 16.

THE SOLUTION: Instead of blindly relying on the details of Form 26AS, make sure to cross-check them

FILE YOUR RETURNS AS SOON AS YOU HAVE THE NECESSARY DOCUMENTS IN PLACE AND MUCH BEFORE THE DEADLINE

INVESTING

There are several instruments and asset classes to put money into and each has to be considered carefully before investing. But do avoid the following mistakes

1. FAILING TO DIVERSIFY

Just because investments in a particular asset class or instruments earned great returns doesn't mean one has to take huge exposure in that alone. Market moves depend on several factors and having such a concentrated position can be disastrous.

THE SOLUTION: The best way to create a portfolio is to spread the investment risk across asset classes by way of diversification. Seek professional advice for optimum diversification to suit your investment objective as well as the risk that you can take when investing.

2. EXPECTING UNREALISTIC RETURNS

Every investor has a different risk appetite and invests in an instrument that has different returns potential. Just because someone known to you earned great returns on investment doesn't mean you can earn the same.

THE SOLUTION: Be realistic with investment returns. For instance, someone new to investing, who has never looked beyond bank deposits, should first look to invest in instruments that post better returns than the bank deposit. Know the returns potential of different asset classes and instruments before investing in them.

3. LETTING EMOTIONS TAKE OVER

Investing is an emotional issue and can impede decision-making. Don't let your heart rule your investment decisions and have your returns take a hit.

THE SOLUTION: Engage an advisor or expert who can guide you through difficult choices or learn about different investments and how to navigate them. More importantly, invest with a goal and plan to ensure you make the right choices and achieve the desired outcomes.

4. REACTING TO THE NEWS

Market movements are like heartbeats. They go up and down due to several factors. Do not let them define where and how you invest.